

Financial Analysis Report (FY26) of Hindustan Unilever Ltd.

About the Company

Hindustan Unilever is in the FMCG business comprising primarily of Home Care, Beauty & Personal Care and Foods & Refreshment segments. The Company has manufacturing facilities across the country and sells primarily in India.

Hindustan Unilever Ltd Income Statement Analysis

Year	Historical Financial Statements for HINDUSTAN UNILEVER LTD													
	Mar-17 A	Mar-18 A	Mar-19 A	Mar-20 A	Mar-21 A	Mar-22 A	Mar-23 A	Mar-24 A	Mar-25 A	Mar-26 A	Mar-27 E	Mar-28 E	Mar-29 E	Mar-30 E
Income Statement														
Sales	33,162.0	35,545.0	39,310.0	39,783.0	47,028.0	52,446.0	60,580.0	61,896.0	63,121.0	64,468.0	71,580.0	75,897.7	80,018.3	84,102.4
Sales Growth	-	7.2%	10.6%	1.2%	18.2%	11.5%	15.5%	2.2%	2.0%	2.1%	11.0%	6.0%	5.4%	5.1%
COGS	18,675.0	19,314.0	21,081.0	20,614.0	25,301.0	29,066.0	35,381.0	33,651.0	34,529.0	34,840.0	39,339.2	41,890.5	44,256.0	46,534.7
Gross Profit	14,487.0	16,231.0	18,229.0	19,169.0	21,727.0	23,380.0	25,199.0	28,245.0	28,592.0	29,628.0	32,240.8	34,007.2	35,762.3	37,567.8
Gross Profit Margins	43.7%	45.7%	46.4%	48.2%	46.2%	44.6%	41.6%	45.6%	45.3%	46.0%	45.0%	44.8%	44.7%	44.7%
Selling & General Expenses	8,159.0	8,732.0	9,349.0	9,308.0	10,101.0	10,523.0	11,052.0	13,586.0	13,749.0	14,589.0	14,908.4	15,770.6	16,680.8	17,650.8
EBITDA	6,328.0	7,499.0	8,880.0	9,861.0	11,626.0	12,857.0	14,147.0	14,659.0	14,843.0	15,039.0	17,332.4	18,236.6	19,081.5	19,917.0
EBITDA Margins	19.1%	21.1%	22.6%	24.6%	24.7%	24.5%	23.4%	23.7%	23.5%	23.3%	24.2%	24.0%	23.8%	23.7%
D&A	432.0	520.0	565.0	1,002.0	1,074.0	1,091.0	1,137.0	1,216.0	1,355.0	1,333.0	1,560.1	1,651.0	1,726.5	1,768.9
EBIT	5,896.0	6,979.0	8,315.0	8,859.0	10,552.0	11,766.0	13,010.0	13,443.0	13,488.0	13,706.0	15,772.3	16,585.6	17,354.9	18,148.1
EBIT Margins	17.8%	19.6%	21.2%	22.3%	22.4%	22.4%	21.5%	21.7%	21.4%	21.3%	22.0%	21.9%	21.7%	21.6%
Interest	35.0	26.0	33.0	118.0	117.0	106.0	114.0	334.0	395.0	410.0	416.8	480.3	541.3	598.4
EBT	5,861.0	6,953.0	8,282.0	8,741.0	10,435.0	11,660.0	12,896.0	13,109.0	13,093.0	13,296.0	15,355.5	16,105.4	16,813.6	17,549.7
EBT Margins	17.7%	19.6%	21.1%	22.0%	22.2%	22.2%	21.3%	21.2%	20.7%	20.6%	21.5%	21.2%	21.0%	20.9%
Tax	1,977.0	2,079.0	2,544.0	2,409.0	2,606.0	2,987.0	3,201.0	3,644.0	3,744.0	3,160.0	3,853.5	4,032.0	4,184.1	4,390.8
Net Profit	3,884.0	4,874.0	5,738.0	6,332.0	7,829.0	8,673.0	9,695.0	9,465.0	9,349.0	10,136.0	11,502.0	12,073.3	12,629.6	13,158.9
Net Profit Margins	11.7%	13.7%	14.6%	15.9%	16.6%	16.5%	16.0%	15.3%	14.8%	15.7%	16.1%	15.9%	15.8%	15.6%

- Revenue of HUL has grown from ₹ 33,162 Cr in FY27 to ₹ 64,468 Cr in FY26.
- Current year sales growth (FY26) is low and has improved only by 5% from previous year (FY25) indicating a slow and steady growth in sales.
- The data shows a CAGR ~6.87%. This indicates a consistent top-line growth.
- Estimated Revenue Growth (FY27-FY30) show a stable growth indicating towards a mature company.
- The profit margins indicate a strong operational efficiency.
- Estimated Gross Profit margins (FY27-30) are also stable indicating sustainable pricing power.
- Improvement in estimated EBITDA margins (FY27-FY30) indicate better cost optimisation and scale benefits.

Hindustan Unilever Ltd. Balance Sheet Analysis

Year	Mar-17 A	Mar-18 A	Mar-19 A	Mar-20 A	Mar-21 A	Mar-22 A	Mar-23 A	Mar-24 A	Mar-25 A	Mar-26 A	Mar-27 E	Mar-28 E	Mar-29 E	Mar-30 E
Historical Financial Statements for HINDUSTAN UNILEVER LTD														
Balance Sheet														
Equity Share Capital	216.0	216.0	216.0	216.0	235.0	235.0	235.0	235.0	235.0	235.0	242.6	245.6	248.1	249.6
Reserves	6,528.0	7,065.0	7,651.0	8,013.0	47,438.0	48,826.0	50,069.0	50,983.0	49,167.0	48,804.0	66,307.8	72,952.9	78,416.6	81,830.8
Borrowings	277.0	0.0	99.0	0.0	0.0	1,043.0	1,219.0	1,484.0	1,648.0	1,478.0	1,856.9	2,190.2	2,477.7	2,760.8
Other Liabilities	3,499.0	3,411.0	3,457.0	4,389.0	12,264.0	11,334.0	11,980.0	15,301.0	17,498.0	16,210.0	19,934.8	22,018.2	24,016.5	25,586.5
Trade Payables	6,186.0	7,170.0	7,206.0	7,535.0	8,802.0	9,068.0	9,574.0	10,486.0	11,315.0	13,325.0	12,934.2	13,712.7	14,615.4	15,453.0
Total Liabilities	15,706.0	17,862.0	18,629.0	20,153.0	68,740.0	70,506.0	73,077.0	78,489.0	79,863.0	79,752.0	101,276.4	111,119.7	119,774.3	125,880.6
Net Block	4,419.0	4,528.0	4,715.0	5,479.0	51,443.0	51,473.0	52,678.0	53,744.0	54,335.0	57,428.0	74,432.4	82,697.9	89,634.3	94,185.6
Capital Work in Progress	229.0	461.0	406.0	597.0	745.0	1,313.0	1,132.0	1,025.0	1,009.0	880.0	1,278.4	1,330.9	1,396.5	1,415.6
Investments	3,794.0	2,873.0	2,716.0	1,255.0	2,709.0	3,521.0	2,882.0	4,625.0	3,810.0	4,359.0	4,150.3	4,652.3	5,086.0	5,532.8
Other Assets	1,810.0	2,692.0	2,645.0	3,793.0	4,035.0	4,021.0	4,377.0	4,517.0	4,921.0	5,669.0	5,895.4	6,170.7	6,519.2	6,762.7
Total Non-Current Assets	10,252.0	10,554.0	10,482.0	11,124.0	58,932.0	60,326.0	61,069.0	63,911.0	64,075.0	68,336.0	85,756.4	94,851.9	102,636.0	107,896.7
Receivables	1,085.0	1,310.0	1,816.0	1,149.0	1,758.0	2,236.0	3,079.0	2,997.0	3,819.0	3,379.0	3,941.8	4,299.2	4,669.2	5,123.0
Inventory	2,541.0	2,513.0	2,574.0	2,767.0	3,579.0	4,096.0	4,251.0	4,022.0	4,415.0	4,789.0	5,079.5	5,419.0	5,717.7	5,958.5
Cash & Bank	1,828.0	3,485.0	3,757.0	5,113.0	4,471.0	3,846.0	4,678.0	7,559.0	7,554.0	3,248.0	6,498.6	6,549.6	6,751.5	6,902.4
Total Current Assets	5,454.0	7,308.0	8,147.0	9,029.0	9,808.0	10,178.0	12,008.0	14,578.0	15,788.0	11,416.0	15,519.3	16,267.8	17,138.4	17,982.9
Total Assets	15,706.0	17,862.0	18,629.0	20,153.0	68,740.0	70,506.0	73,077.0	78,489.0	79,863.0	79,752.0	101,276.4	111,119.7	119,774.3	125,880.6

- For the equity share capital, a slight change can be seen from the FY21 possibly due to corporate actions like a merger.
- A huge jump can be seen in the Reserves in FY21, the major reason being the GSK Healthcare Merger.
- Major funding comes from Equity and relies very less on Debt.

Hindustan Unilever Ltd. Cash Flow Statement Analysis

Year	Mar-17 A	Mar-18 A	Mar-19 A	Mar-20 A	Mar-21 A	Mar-22 A	Mar-23 A	Mar-24 A	Mar-25 A	Mar-26 A	Mar-27 E	Mar-28 E	Mar-29 E	Mar-30 E
Historical Financial Statements for HINDUSTAN UNILEVER LTD														
Cash Flow Statement														
Cash from Operating Activity														
Profit from Operations	6,512.0	7,485.0	8,909.0	9,723.0	11,672.0	12,829.0	14,089.0	14,537.0	14,942.0	151,153.0	71,717.6	85,345.7	100,341.9	116,532.0
Receivables	173.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(34.6)	(13.8)	(17.1)	(20.7)
Inventory	37.0	(146.0)	(195.0)	(331.0)	(543.0)	(758.0)	(339.0)	74.0	(584.0)	(692.0)	(631.6)	(642.6)	(662.2)	(669.7)
Payables	501.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(100.2)	(40.0)	(49.4)	(59.8)
Loans Advances	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Deposits	(46.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	9.2	3.7	4.5	5.5
Other W/C items	(99.0)	982.0	(147.0)	742.0	442.0	(242.0)	(621.0)	1,239.0	(204.0)	1,378.0	585.4	561.8	771.4	791.8
Working Capital changes	566.0	836.0	(342.0)	411.0	(101.0)	(1,000.0)	(960.0)	1,313.0	(788.0)	686.0	(171.8)	(131.1)	47.2	47.2
Direct Taxes	(1,859.0)	(2,264.0)	(2,767.0)	(2,505.0)	(2,407.0)	(2,784.0)	(3,138.0)	(381.0)	(2,268.0)	(4,840.0)	(3,094.3)	(3,146.9)	(3,246.2)	(3,460.5)
Other operating items	(21.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	4.2	1.7	2.1	2.5
Exceptional CF items	(13.0)	2.0	0.0	(6.0)	(1.0)	3.0	0.0	0.0	0.0	0.0	2.7	1.3	2.3	3.2
Cash Flow from Operating Activities	5,185.0	6,059.0	5,800.0	7,623.0	9,163.0	9,048.0	9,991.0	15,469.0	11,886.0	10,999.0	14,070.1	14,998.9	15,940.3	16,593.4
Cash from Investing Activity														
Fixed Asset Purchased	(1,113.0)	(895.0)	(767.0)	(862.0)	(4,613.0)	(1,228.0)	(1,192.0)	(1,477.0)	(1,275.0)	(1,360.0)	(1,679.5)	(1,662.7)	(1,543.2)	(1,290.6)
Fixed Assets Sold	176.0	32.0	13.0	52.0	97.0	175.0	181.0	20.0	13.0	29.0	46.9	60.1	48.7	25.9
Investments purchased	(31,214.0)	(51,855.0)	(74,365.0)	(36,090.0)	(39,920.0)	(48,522.0)	(22,649.0)	(21,337.0)	(22,957.0)	(25,529.0)	(19,100.5)	(10,105.7)	(3,821.3)	(3,808.4)
Investments sold	30,083.0	52,897.0	74,691.0	37,690.0	38,486.0	47,786.0	23,462.0	19,846.0	23,987.0	25,415.0	19,034.9	9,718.8	3,492.8	3,465.9
Interest received	264.0	297.0	289.0	351.0	277.0	161.0	259.0	425.0	835.0	428.0	542.9	591.4	649.5	709.1
Dividends received	14.0	0.0	1.0	1.0	1.0	1.0	2.0	3.0	0.0	5.0	0.5	2.6	2.7	2.9
Redemp n Canc of Shares	20.0	73.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(13.7)	(20.1)	(12.6)	(15.4)
Acquisition of companies	0.0	0.0	0.0	0.0	0.0	0.0	(334.0)	0.0	0.0	0.0	(66.8)	(71.2)	(73.0)	(70.7)
Other investing items	597.0	(1,612.0)	(300.0)	649.0	3,994.0	(101.0)	(1,213.0)	(2,804.0)	5,870.0	(2,672.0)	366.2	371.2	(48.5)	(418.7)
Cash Flow from investing Activities	(1,173.0)	(1,063.0)	(438.0)	1,791.0	(1,228.0)	(1,728.0)	(1,484.0)	(5,324.0)	6,473.0	(3,684.0)	(939.0)	(1,103.5)	(1,320.1)	(1,454.0)
Cash from Financing Activity														
Proceeds from shares	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Proceeds from borrowings	460.0	0.0	99.0	0.0	188.0	55.0	286.0	0.0	0.0	0.0	(21.5)	20.0	(12.4)	(32.8)
Repayment of borrowings	(360.0)	(277.0)	0.0	(99.0)	(188.0)	(55.0)	(208.0)	(85.0)	0.0	(46.0)	6.4	0.8	(9.3)	31.9
Interest paid fin	(14.0)	(6.0)	(7.0)	(90.0)	(92.0)	(82.0)	(88.0)	(110.0)	(130.0)	(133.0)	(156.5)	(172.6)	(183.7)	(188.3)
Dividends paid	(3,572.0)	(3,911.0)	(4,554.0)	(5,196.0)	(8,811.0)	(7,526.0)	(8,474.0)	(9,416.0)	(12,473.0)	(10,124.0)	(12,463.5)	(13,463.9)	(14,362.6)	(15,155.5)
Financial liabilities	0.0	0.0	0.0	(373.0)	(406.0)	(407.0)	(423.0)	(498.0)	(507.0)	(556.3)	(713.4)	(749.6)	(752.7)	(752.7)
Other financing items	(728.0)	(781.0)	(928.0)	(1,061.0)	0.0	0.0	(2.0)	0.0	0.0	0.0	311.1	474.6	620.2	701.3
Cash Flow from Financing Activities	(4,214.0)	(4,975.0)	(5,390.0)	(6,819.0)	(9,309.0)	(8,015.0)	(8,953.0)	(10,034.0)	(13,101.0)	(10,810.0)	(12,980.3)	(13,854.6)	(14,697.3)	(15,396.1)
Net Cash Flow	(202.0)	21.0	(28.0)	2,595.0	(1,374.0)	(695.0)	(446.0)	111.0	5,258.0	(3,495.0)	150.7	40.8	(77.1)	(256.7)

- Steady and consistent growth can be seen in CFO. This reflects a robust business model, working capital efficiency and brand-led pricing power.
- The sudden increase in CFO in FY24 was likely due to one-time capital inflows or tax benefits.
- The CFI show mostly typical capex outflows except for FY20 and FY25, which suggests non-core asset monetisation in these years.
- For the CFF, outflow of ₹ 10,810 Cr. (FY26) suggests either a larger dividend or settlement of lease/other liabilities.
- FCF is seen to be resilient even during demand slowdowns or commodity shocks.

Valuation of Hindustan Unilever Ltd.

WACC Calculation for HINDUSTAN UNILEVER LTD

Equity (E)	₹ 5,167
Debt (D)	₹ 1,478
Rf	7.02%
Equity Risk Premium (ERP)	4.18%
Rm	0.10
Beta	0.77
Tax Rate	24%
Cost of Debt (Kd)	0.15
Cost of Equity (Ke)	0.095
ew	0.778
dw	0.222
WACC	9.97%

Discounted Cash Flow Statement for HINDUSTAN UNILEVER LTD

	1	2	3	4	5	6	7	8	9	10
EBIT	5,896	6,979	8,315	8,859	10,552	11,766	13,010	13,443	13,488	13,706
Tax Rate	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%
Depreciation	432	520	565	1,002	1,074	1,091	1,137	1,216	1,355	1,333
CapEx	(1,113)	(895)	(767)	(862)	(4,613)	(1,228)	(1,192)	(1,477)	(1,275)	(1,360)
Non-Cash WC	(2,560)	(3,347)	(2,816)	(3,619)	(3,465)	(2,736)	(2,244)	(3,467)	(3,081)	(5,157)
FCF	1,254	1,598	3,321	3,275	1,040	6,097	7,619	6,520	7,281	5,265
Growth Rate	3.8%									
WACC	9.97%									
Terminal Value	88629.49944									
Discount Factor	0.91	0.83	0.75	0.68	0.62	0.57	0.51	0.47	0.43	0.39
PV of FCF	1140.105205	1321.761	2497.312	2239.336	646.8623	3447.837	3918.287	3049.26	3096.696	2036.058
PV of TV										34277.31
Enterprise Value	57670.82271									
Equity Value	59221.82271									
No. Shares	23									
Share Price	2,520.51									

Ratio Analysis for HINDUSTAN UNILEVER LTD

Year	Mar-17 A	Mar-18 A	Mar-19 A	Mar-20 A	Mar-21 A	Mar-22 A	Mar-23 A	Mar-24 A	Mar-25 A	Mar-26 A	Mar-27 E	Mar-28 E	Mar-29 E	Mar-30 E
Profitability Ratios														
Gross Profit Margin	44%	46%	46%	48%	46%	45%	42%	46%	45%	46%	45%	45%	45%	45%
EBITDA Margins	19%	21%	23%	25%	25%	25%	23%	24%	24%	23%	24%	24%	24%	24%
EBIT Margins	18%	20%	21%	22%	22%	22%	21%	22%	21%	21%	22%	22%	22%	22%
Net Profit Margins	12%	14%	15%	16%	17%	17%	16%	15%	15%	16%	16%	16%	16%	16%
Return on Asset	25%	27%	31%	31%	11%	12%	13%	12%	12%	13%	11%	11%	11%	10%
Return on Equity	58%	67%	73%	77%	16%	18%	19%	18%	19%	21%	17%	16%	16%	16%

Ratio Analysis for HINDUSTAN UNILEVER LTD

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Market Ratios														
Earning per share	153.22	164.22	181.60	183.77	200.15	223.21	257.83	263.43	268.65	274.38	299.56	315.53	331.09	347.41
P/E Ratio	5.70	7.77	9.00	11.97	11.63	8.78	9.50	8.23	8.05	7.49	8.94	8.17	7.42	6.66
Book Value per share	31.16	33.64	36.34	38.01	202.90	208.81	214.10	217.99	210.26	207.44	282.21	310.01	332.88	347.19

COMP Analysis for HINDUSTAN UNILEVER LTD

Name	Market Data				Financials				Valuation			
	Share Price	Share Outstanding	Market Cap	Net Debt	Enterprise Value	Revenue	EBITDA	EBIT	Net Income	EV/Revenue	EV/EBITDA	P/E (Calculated)
HUL	2,203.0	234.96	517,616.9	(1,770.0)	515,846.9	64,468.0	15,039.0	13,706.0	10,136.0	8.0 x	34.3 x	47.3 x
ITC	301.5	1252.95	377,764.4	(610.0)	377,154.4	78,868.0	29,829.0	28,118.0	21,018.0	4.8 x	12.6 x	17.5 x
Hindustan Foofs	536.2	12.12	6,498.7	1,036.0	7,534.7	4,251.0	372.0	282.0	149.0	1.8 x	20.3 x	42.5 x
Godavri Bioref.	283.8	5.12	1,452.8	499.0	1,951.8	1,988.0	108.0	54.0	4.0	1.0 x	18.1 x	43.0 x
High										8.0 x	34.3 x	47.3 x
Third Quartile										5.586971696	23.76616873	44.0875
Median										3.3 x	19.2 x	42.8 x
Average										3.9 x	21.3 x	37.6 x
First Quartile										1.574795604	16.71513774	36.2475
Low										1.0 x	12.6 x	17.5 x
HUL												
Implied Enterprise Value										1,690,574.9	9,885,408.6	22,060,191.8
Net Debt						(1,770.0)	(1,770.0)	(1,770.0)	(1,770.0)			
Implied Market Value						1,688,804.9	9,883,638.6	22,058,421.8				
Shares Outstanding						235.0	235.0	235.0	235.0			
Implied Value per Share						7,187.6	42,065.2	93,881.6				

- Current Valuation is premium but defensible due to high return ratios (ROE ~21%), exceptional cash flows, predictability in earnings, especially in uncertain macro-cycles.
- However, the future returns may be capped unless:
Rural demand sees a sharp rebound,
New growth categories like premium skincare and beverages scale materially,
Margin expansion or new product penetration surprises on the upside.
- P/E ratio of almost 47.3x in FY26 indicates a premium valuation, which is in line with the historical averages.
- EV/EBITDA multiple is almost 34.3x, which is generally considered high. This suggests high market expectations for HUL's profitability and growth.
- The share price is fairly to slightly overvalued ranging from ₹ 2,200 - ₹ 3,200.
- Dividend yield is modest, but payout ratios are high.

Ratio Analysis of Hindustan Unilever Ltd.

Ratio Analysis for HINDUSTAN UNILEVER LTD														
Year	Mar-17 A	Mar-18 A	Mar-19 A	Mar-20 A	Mar-21 A	Mar-22 A	Mar-23 A	Mar-24 A	Mar-25 A	Mar-26 A	Mar-27 E	Mar-28 E	Mar-29 E	Mar-30 E
Profitability Ratios														
Gross Profit Margin	44%	46%	46%	48%	46%	45%	42%	46%	45%	46%	45%	45%	45%	45%
EBITDA Margins	19%	21%	23%	25%	25%	25%	23%	24%	24%	23%	24%	24%	24%	24%
EBIT Margins	18%	20%	21%	22%	22%	22%	21%	22%	21%	21%	22%	22%	22%	22%
Net Profit Margins	12%	14%	15%	16%	17%	17%	16%	15%	15%	16%	16%	16%	16%	16%
Return on Asset	25%	27%	31%	31%	11%	12%	13%	12%	12%	13%	11%	11%	11%	10%
Return on Equity	58%	67%	73%	77%	16%	18%	19%	18%	19%	21%	17%	16%	16%	16%
Solvency Ratios														
D/E Ratio	0.04	0.00	0.01	0.00	0.00	0.02	0.02	0.03	0.03	0.03	0.03	0.03	0.03	0.03
Debt Ratio	0.02	0.00	0.01	0.00	0.00	0.01	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02
Interest Coverage	168.46	268.42	251.97	75.08	90.19	111.00	114.12	40.25	34.15	33.43	37.84	34.54	32.06	30.33
Efficiency Ratios														
Asset Turnover	2.11	1.99	2.11	1.97	0.68	0.74	0.83	0.79	0.79	0.81	0.71	0.68	0.67	0.67
Inventory Turnover	7.35	7.69	8.19	7.45	7.07	7.10	8.32	8.37	7.82	7.28	7.74	7.73	7.74	7.81
Receivable Turnover	30.56	27.13	21.65	34.62	26.75	23.46	19.68	20.65	16.53	19.08	18.16	17.65	17.14	16.42
Payable Turnover	5.36	4.96	5.46	5.28	5.34	5.78	6.33	5.90	5.58	4.84	5.53	5.53	5.47	5.44
Fixed Asset Turnover	7.50	7.85	8.34	7.26	0.91	1.02	1.15	1.15	1.16	1.12	0.96	0.92	0.89	0.89
Liquidity Ratios														
Current Ratio	84%	102%	112%	120%	111%	101%	111%	122%	122%	77%	105%	102%	100%	99%
Quick Ratio	45%	67%	76%	83%	71%	60%	72%	88%	88%	45%	71%	68%	67%	66%
Cash Ratio	28%	49%	51%	68%	51%	38%	43%	63%	58%	22%	44%	41%	39%	38%

Ratio Analysis for HINDUSTAN UNILEVER LTD														
Year	Mar-17 A	Mar-18 A	Mar-19 A	Mar-20 A	Mar-21 A	Mar-22 A	Mar-23 A	Mar-24 A	Mar-25 A	Mar-26 A	Mar-27 E	Mar-28 E	Mar-29 E	Mar-30 E
Market Ratios														
Earning per share	153.22	164.22	181.60	183.77	200.15	223.21	257.83	263.43	268.65	274.38	299.56	315.53	331.09	347.41
P/E Ratio	5.70	7.77	9.00	11.97	11.63	8.78	9.50	8.23	8.05	7.49	8.94	8.17	7.42	6.66
Book Value per share	31.16	33.64	36.34	38.01	202.90	208.81	214.10	217.99	210.26	207.44	282.21	310.01	332.88	347.19
Operating Cycle Ratios (in days)														
Inventory Days	49.66	47.49	44.57	48.99	51.63	51.44	43.85	43.63	46.67	50.17	47.13	47.22	47.16	46.74
Receivable Days	11.94	13.45	16.86	10.54	13.64	15.56	18.55	17.67	22.08	19.13	20.10	20.68	21.30	22.23
Payable Days	68.09	73.63	66.91	69.13	68.32	63.11	57.68	61.84	65.43	75.44	65.95	65.95	66.67	67.06
Cash Conversion Cycle	(6.48)	(12.68)	(5.48)	(9.60)	(3.04)	3.89	4.72	(0.54)	3.32	(6.14)	1.28	1.95	1.79	1.90

- Gross Profit Margin peaked in FY20 and dipped due to raw material inflation in FY23 but recovered by FY26 reflecting product mix improvement and easing costs.
- EBITDA and Net Margins are steady.
- ROE was exceptionally high before FY21 due to a lean equity base and high net income.
- Post GSK merger, equity base expanded, and ratios normalised to ~18-20%, still well above the cost of equity, signalling value creation.
- ROA fell due to higher asset base (especially goodwill and intangibles assets).
- Asset turnover ratio remains high
- Inventory Turnover is mostly consistent.
- Cash Conversion Cycle is negative showing efficient cash flow management.

Conclusion

Hindustan Unilever Ltd. is a strong and stable company with steady and consistent growth. It has a market capitalisation of almost ₹51,6370 Cr. It maintains a conservative capital structure relying mostly on equity. It has a solid shareholder return profile supported by free cash flows and not leverage. The share price is fairly valued. Market has high expectations of growth and profitability from the company.